

Altcoin Season Cometh

Our 3Q25 outlook remains constructive, though our view on an altcoin season has evolved. **We think current market conditions now suggest a potential shift towards a full-scale altcoin season** as we approach September. (A common definition for altcoin season is when at least 75% of the top 50 altcoins by market cap outperform BTC over the preceding 90 days.).

Many people have debated whether Fed cuts in September could represent a local top for crypto markets. We don't think so. With significant retail capital sitting on the sidelines in money market funds (over \$7T) and other places, **we think Fed easing could unlock greater retail participation in the medium term.**

Focus on ETH. The divergence between (1) a largely subdued Altcoin Season Index (CoinMarketCap) versus (2) 50% growth in the total altcoin market cap since early July largely reflects the increasing institutional interest in ETH. This has been supported by demand from digital asset treasuries (DATs) and the growing narrative around stablecoins and real world assets.

Tokens like ARB, ENA, LDO and OP all trade at a higher beta to daily ETH returns, though it seems only LDO has benefited from the recent ETH rally with its 58% MTD gain. In the past, Lido has offered relatively straightforward exposure to ETH given the nature of liquid staking. Moreover, we think LDO's appreciation was supported by the US SEC statement that liquid staking tokens do not constitute securities under certain conditions.

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